

Development Bank and Asian Infrastructure Investment Bank.

Ashok Lahiri, a member of the 15th Finance Commission and former Chief Economic Advisor, points out that the first report is an appeal to the more noble instincts of aid-giving countries. “Countries, when they give funds, especially aid, want leverage on a bilateral basis. When the aid is multilateral in nature, the leverage tends to go away. A large-hearted multilateral approach to aid by donor countries is still awaited,” says Lahiri, a former executive director at ADB.

Experts point out that the coming months and years are expected to see increased global dialogue and activities towards strengthening and reforming MDBs. Sudipto Mundle, Chairman of the Centre for Development Studies, says the reports have got to the heart of the matter on climate challenge. “The critical issue is not developing the technologies to effectively deal with climate change... The critical issue is the huge amount of money required to deploy those technologies at scale and in the geographies where they need to be deployed,” he says, adding that the implementation of the IEG’s recommendations will need a change in mindset of the boards and staff of the MDBs, as well as governments.

GROWING SUPPORT

The US has been unequivocal in its support to transforming the MDBs for a better planet and, perhaps, to some extent to cut down China’s rising influence in lending to developing countries. Others, including Germany and the UK, also support the move. The Marrakesh meeting also saw significant support from the MDBs. The World Bank, which has been going through an evolu-

FUND FLOWS



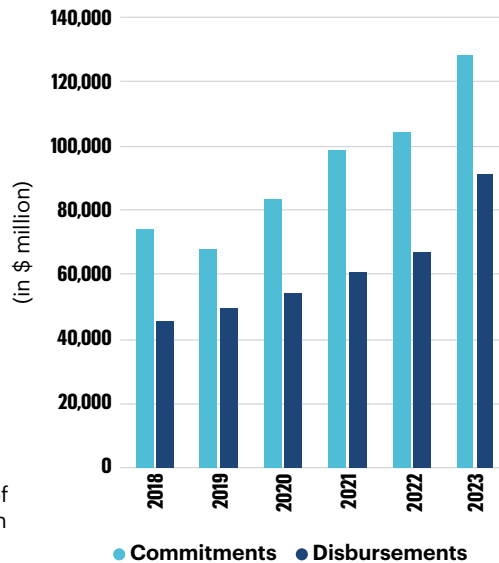
Financing by multilateral development banks has increased over the years



Climate change, infrastructure building and poverty reduction are key goals of lending by MDBs

Source Annual reports of World Bank, ADB, African Development Bank

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tion process to become a “bigger and better bank” that is fit-for-purpose to respond to the most pressing needs of people and the planet, has done much groundwork on this. World Bank President Ajay Banga said a start towards this was made in April by “squeezing \$40 billion over 10 years from our balance sheet by adjusting our loan to equity ratio”. Over the past few months, it has created a portfolio guarantee mechanism and launched a hybrid capital instrument. “These new tools enable us to take more risks

and boost our lending capacity further—all while preserving our AAA rating. Taken together, we could provide \$157 billion more in lending capacity over a decade,” he said at the 2023 Annual Meetings Plenary.

Significantly, the heads of 10 MDBs, including those of the World Bank Group, ADB and Islamic Development Bank, have welcomed the G20 deliberations and agreed to strengthen their collaboration in five critical areas: scaling up financing capacity; boosting joint action on climate; enhancing coun-

VOLUME 2 OF THE IEG REPORT SUGGESTS MDBs FOCUS ON PROGRAMMES WHERE GOVERNMENTS IDENTIFY MULTI-YEAR TRANSFORMATIONS, ACHIEVED THROUGH SCALED-UP INVESTMENTS